MULTI-CURRENCY CONVERSION MEMO

Client	Meridian Capital Group, LLC
Fiscal Year End	—
Period	FY 2025 (January 1 – December 31, 2025)
Source Document	Multi-Currency Trial Balance — FY2025
Source File	meridian_tb_multicurrency.csv
Source Context	Closing rates provided by practitioner as of Dec 31, 2025
Reference	MCY-2026-1023-203
Generated	23rd October 2026
Engagement Practitioner	—
Engagement Reviewer	—
Report Status	Draft

Report generated by Paciolus® Diagnostic Intelligence. Engagement information entered by user.

MULTI-CURRENCY CONVERSION MEMO

Meridian Capital Group, LLC

23rd October 2026 • MCY-2026-1023-203

Source ... Multi-Currency Trial Balance — FY2025 (meridian_tb_multicurrency.csv)

I. Scope

Presentation Currency: USD

Total Accounts: 247

Accounts Converted: 235

Accounts Unconverted: 4

Currencies Detected: USD, EUR, GBP, CAD, JPY

The automated multi-currency conversion procedures documented in this workpaper were performed on the multi-currency trial balance data provided by management for the period under examination. These procedures are designed to identify potential data anomalies that may warrant further investigation by the engagement team. The analysis was performed with reference to the FASB Accounting Standards Codification and applicable professional auditing standards.

II. Exchange Rates Applied

Currency Pair	Rate
CAD/USD	0.7423
EUR/USD	1.0842
GBP/USD	1.2715
JPY/USD	0.006689

III. Conversion Output

Currency	Accounts	Foreign Total	Rate	USD Equivalent	% of Total
USD	140	$8,450,000	1.0000	$8,450,000	62.3%
EUR	45	€2,150,000	1.0842	$2,331,030	17.2%

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

Currency	Accounts	Foreign Total	Rate	USD Equivalent	% of Total
GBP	28	£1,120,000	1.2715	$1,424,080	10.5%
CAD	15	C$980,000.00	0.7423	$727,454.00	5.4%
JPY	7	¥93,500,000	0.006689	$625,421.50	4.6%
Total	**235**			**$13,557,986**	**100.0%**

IV. Unconverted Items

4 account(s) could not be converted. Results for these accounts reflect original (unconverted) amounts.

Account	Name	Currency	Issue	Severity	Suggested Rate Source
5100	Intercompany — Singapore	SGD	Missing Rate	High	Federal Reserve H.10 or Reuters for SGD/USD
5110	Intercompany — Brazil	BRL	Missing Rate	High	Federal Reserve H.10 or Reuters for BRL/USD
5120	Foreign Subsidiary — Korea	KRW	Missing Rate	Medium	Federal Reserve H.10 or Reuters for KRW/USD
1400	Vendor Deposit — India	INR	Missing Rate	Medium	Federal Reserve H.10 or Reuters for INR/USD

Practitioner must obtain authoritative closing rates from the Federal Reserve H.10 release, Reuters, Bloomberg, or the entity's bank confirmation for the engagement date. Do not rely on approximate or estimated rates for final translated balances.

HIGH severity unconverted items (BRL, SGD) relate to intercompany balances. These require immediate rate resolution — intercompany balances that remain unconverted will cause the consolidated trial balance to be out of balance in USD. Add the missing rates and rerun the conversion before finalizing.

V. Methodology & Limitations

This memo documents the currency conversion applied to the uploaded trial balance. All amounts were converted to USD using closing exchange rates provided by the practitioner. 235 of 247 accounts (95%) were successfully converted.

Conversion Method: Closing rate applied uniformly to all account balances. Rounding uses banker's rounding (round half to even) with 4 decimal places internally and 2 decimal places for display.

Monetary vs. Non-Monetary Note: Under IAS 21, monetary items (cash, receivables, payables) should be translated at the closing rate, while non-monetary items (inventory, PP&E, intangible assets) carried at historical cost should be translated at the historical rate. This conversion applies the closing rate uniformly to all accounts. Non-monetary accounts translated at the closing rate may produce translation differences that do not reflect economic reality. The auditor should evaluate whether material non-monetary balances require adjustment to historical rates.

Non-Monetary Account Identification: Non-monetary account identification requires account type metadata (monetary/non-monetary classification per IAS 21.23 and ASC 830-30-45). Add an account_type column to the trial

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.

balance to enable automatic identification. Accounts likely requiring historical rate treatment include: Inventory, PP&E, Intangible Assets, Goodwill, and Prepaid Expenses. The USD amounts shown for these accounts reflect the closing rate and may require adjustment. Obtain the historical exchange rates at the acquisition dates for these assets and compute the adjustment. The difference flows to the cumulative translation adjustment (CTA) in Other Comprehensive Income.

Cumulative Translation Adjustment (CTA): Under ASC 830-30 and IAS 21, the translation adjustment arising from the conversion of foreign currency financial statements to the reporting currency (USD) must be recognized in Other Comprehensive Income (OCI) as a cumulative translation adjustment. CTA computation requires prior period closing rates and opening net assets by currency. These were not provided in the current conversion. The practitioner should compute the CTA manually and record the adjusting entry to AOCI before finalizing the translated financial statements.

Interpretive Context: The results presented herein reflect automated data analytics and are intended to support, not replace, professional judgment. Identified anomalies may indicate areas requiring additional inquiry but do not, in themselves, constitute evidence of error, fraud, or material misstatement. The engagement team should evaluate each flagged item in the context of the overall engagement risk assessment and perform corroborating procedures as deemed necessary under applicable professional standards.

VI. Authoritative References

Body	Reference	Topic	Status
FASB	ASC 830-10	Foreign Currency Matters — Overall	Current
FASB	ASC 830-30	Foreign Currency Matters — Translation of Financial Statements	Current

VII. Conclusion

Based on the automated multi-currency conversion procedures applied, 235 of 247 accounts (95.1%) were successfully converted to USD using closing rates as of FY 2025 (January 1 – December 31, 2025). 4 account(s) could not be converted due to missing exchange rates for BRL, INR, KRW, SGD — these accounts retain their unconverted foreign currency balances and require manual rate application before the TB can be considered fully translated. The conversion applies the closing rate uniformly. The auditor should evaluate whether material non-monetary balances (inventory, PP&E) require adjustment to historical rates per IAS 21 and ASC 830-30 before issuing a conclusion on the translated balances.

This memo documents automated multi-currency conversion testing procedures with reference to IAS 21 (Effects of Changes in Foreign Exchange Rates). Results represent data anomalies identified through analytics and are not conclusions regarding internal control effectiveness, fraud, or material misstatement risk. The auditor must evaluate each flagged item in the context of the engagement and perform additional procedures as necessary per professional standards. This memo does not constitute audit evidence sufficient to support an opinion without corroborating procedures. Generated by Paciolus — Zero-Storage Audit Intelligence.

Prepared using Paciolus Diagnostic Intelligence. Does not constitute an audit, review, or attestation engagement.